

SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Naeem Akhter Afghan
Mr. Justice Muhammad Shafi Siddiqui
Mr. Justice Miangul Hassan Aurangzeb

Civil Petition No. 4065 of 2024

*[Against order dated 03.07.2024 of the
Federal Service Tribunal, Islamabad passed
in Appeal No.61(P) CS/2023]*

Muhammad Usman. ... *Petitioner*

Versus

*Federation of Pakistan through Secretary Finance,
Finance Division, Islamabad and others.* ... *Respondents*

For the Petitioner: Ms. Shireen Imran, ASC.

For the Respondents: Mr. Rashideen Nawaz Qasoori,
Additional Attorney-General for Pakistan.
Mr. M. Saeed Anwar, Assistant Account Officer.
Mr. Abdul Rehman, APS.

Date of Hearing: 07.01.2026.

JUDGMENT

Muhammad Shafi Siddiqui, J. This petition for leave to appeal is directed against the order dated 03.07.2024 passed by the Federal Service Tribunal, Islamabad ('**the Tribunal**') in Appeal No.61(P)CS/2023, whereby the appeal filed by the petitioner, in respect of rejection of the departmental representation, through which the pensionary benefits were declined, was dismissed. Consequently, the petitioner was held disentitled to pensionary benefits on account of having tendered resignation from public service, followed by a belated application for release of pensionary benefits, notwithstanding the fact that the requisite length of service had already been completed by the petitioner.

2. We have heard the learned counsel for the petitioner and learned Additional Attorney-General for Pakistan ('**AAG**') insofar as the entitlement of the petitioner and a delayed apply to the claim of pensionary benefits as well as regulation 418 of the Civil Service Regulations ('**CSR**') are concerned and have also perused the material available on record.

3. The petitioner was a civil servant, who served for respondents No.2 and 3 (Department) and according to the record, completed more than twenty years of service qualifying for pension at the time of resignation. The petitioner last served as a Senior Auditor (BS-11) in Military Accountant General, Rawalpindi. The resignation was tendered by the petitioner in September, 2007. The impugned order of the Tribunal reflects that the petitioner filed an application with the department for the release of pension pursuant to his service record. The department was initially of the view that the qualifying length of service for pensionary benefits was twenty-five years, as the said application was dismissed for such consideration and as his application for condonation of period was declined / dismissed on 27.10.2020. Since the resignation was tendered in September, 2007, therefore, the petitioner for the purposes of his pensionary benefits was required to have served for a period of twenty years; as the relevant clause (i) to sub-section (1) of section 13 of the Civil Servants Act, 1973, was amended by virtue of Ordinance No.XXXIV of 2001 dated 04.08.2001, whereby the period of twenty-five years was substituted with twenty years. To this extent the learned AAG for the respondents has not seriously objected as at the relevant time when the resignation was tendered the petitioner had completed the requisite period of twenty years to avail the pensionary benefits.

4. Mr. Rashideen Nawaz Qasoori, the learned AAG appearing for the respondents opposed the grant of pensionary benefits to the petitioner on

two counts: (i) that the petitioner has belatedly applied for the pension claim; and (ii) that since he has tendered resignation on his own from public service, therefore, regulation 418 of the CSR would disentitle him for such claim. In terms of the impugned order, as not opposed, the petitioner moved the department for the first time to claim pensionary benefits in the year 2020, that is, after a lapse of thirteen years of tendering resignation which was later accepted. This period was counted as enough to disentitle the petitioner to claim pensionary benefits.

5. We disagree with such understanding of law. The surveyed jurisprudence establishes with clarity that pension is a vested, constitutional right and not a bounty or given out of generosity by the employer. The employee earns these benefits through his/her long, continuous, faithful and unblemished service.¹

6. In the impugned order, the Tribunal while expressing his anxiety as to why the petitioner slept over his rights, has failed to lay down reference of any law, which would disentitle him to claim pension after the requisite period. The pensionary benefits after retirement devolved upon a civil servant soon after his/her resignation followed by its acceptance and the formal application was only required to keep the record streamlined. The delay of any kind to claim pensionary benefits should not be counted as to one of the disentitlements, especially for pensionary claims. Neither the principle of *laches* would apply here (as indeed no one else has any claim over the money) nor any provision of the Limitation Act would come as an obstacle to decline the claim of pensionary benefits.

¹ Secretary, Government of Punjab, Finance Department v. Ismail Tayer (2015 PLC (C.S.) 296) and I.A. Sharwani v. Government of Punjab (1991 SCMR 1041).

7. The next novel proposition, as urged by the learned AAG, is the application of regulation 418 of the CSR. Regulation 418 finds its place in Chapter XVII, which is described as '*Rules for Reckoning Service*'. Under the circumstances, Regulations 418(a) and 418(b) is to be read to understand that the same is meant for reckoning of service and not otherwise and an isolated reading (without reference to its Chapter, where it find its place for appropriate application) would distract its serious application on the subject, which only mean counting of service, if one is obliged or bent upon to resign for appointment/take up another appointment. For ready reference, regulations 418(a) and (b) of CSR are reproduced herein:

“418. (a) Resignation of public service, or dismissal or removal from it for misconduct, insolvency, inefficiency not due to age, or failure to pass a prescribed examination entails forfeiture of past service.

(b) Resignation of an appointment to take up another appointment, service in which counts, is not a resignation of the public service.”

The gist of the aforesaid regulations is that if a government servant resigns from an appointment to take up another appointment in which there is a provision for counting of past service, then the period served can be taken into account subject to reservation identified in regulation 418(a) of the CSR.

8. The scope of regulation 418 of the CSR came for consideration in the case of *Zafarullah Shah*² in the following terms:

5. All the facts narrated above, mostly related to the service record, are almost admitted. The resignation of Zafarullah Shah before WAPDA Authorities is considered to be the damaging factor and on this score the pensionary benefits are denied. It is alleged that having voluntarily resigned, the official happened to lose all his rights if at all arising out of his service under WAPDA. Regulation 418(b) of Civil Service Regulations is the proper provision of law that regulates resignations and dismissals. For facility of reference, it is reproduced below in its entirety:

“418(a). Resignation of public service, or dismissal or removal from it for misconduct, insolvency, inefficiency not due to age, or failure to pass a prescribed examination entails forfeiture of past service.

² Chief Engineer, Hydel (North) and Project Director, WAPDA v. Zafarullah Shah (2003 SCMR 684).

(b) Resignation of an appointment to take up another appointment, service in which counts, is not a resignation of the public service.”

The contents of the regulation would clearly indicate the different kinds of resignations that entail upon different consequences. Though the case of respondent fell under sub-Regulation (b) of Regulation 418 yet for the purposes of contrast and comparison a careful perusal of both would be most appropriate. Regulation 418(a) highlights those resignations which arise from misconduct, insolvency, inefficiency not due to age or failure to pass a prescribed examination and all such resignations entail forfeiture of past service. Whereas resignation of an appointment to take up another appointment, service in which counts, is not a resignation of the public service. As the public service continues and as service in both appointments counts, this principle of common sense is enunciated in Regulation 418(b) declaring in unequivocal words that such resignation is not a resignation of the public service and hence the consequences of resignation under Regulation 418(a) are not similar to the consequences of resignation under Regulation 418(b).

6. As the learned Tribunal has rightly applied Regulation 418(b) to the admitted facts of the present case, the finding is unexceptionable and the same is upheld. Zafrullah Shah is, therefore, entitled to the pensionary benefits of his past service rendered in WAPDA.

9. Regulation 418 of the CSR also came for consideration in the case of *Muhammad Mubarak*³, which provides interpretation that application of regulation 418 is for counting of earlier service rendered by a civil servant towards another service that the civil servant has rendered, to claim pensionary benefits.

10. Thus, the understanding of the said regulation as an independent application to oust a civil servant from a contest to claim pensionary benefits on successful completion of requisite length of service would be misconceived and legally untenable in the eye of law. We are, thus, of the view that the Tribunal and the departmental authority have failed to understand the spirit of regulation 418 of the CSR and also that the belated application to claim pensionary benefits is not a disentitlement.

11. For the foregoing discussion, the impugned order passed by the Tribunal is not sustainable and the same is set aside. The petition is

³ Federation of Pakistan v. Muhammad Mubarak (PLD 1990 Supreme Court 346).

converted into appeal and allowed in the aforesaid terms. The appellant is entitled to his pensionary benefits in accordance with law.

Judge

Judge

Judge

Islamabad:
07.01.2026

Approved for Reporting
[**]